

Inland Collection – Complete Demo Script

Introduction:

Good morning/Good afternoon everyone.

Today I am going to explain the Inland Collection process.

Before moving into the system transaction flow, I will first explain the basic business flow of how the collection process happens.

Parties Involved:

1. Drawer – The seller who sells the goods.
2. Drawee – The buyer who purchases the goods and has to make the payment.
3. Bank – The bank acts as an agent to collect the payment.

Basic Business Flow:

First, the seller sells the goods to the buyer.

After dispatching the goods, the seller prepares the bill and submits the required documents to his bank.

The seller's bank acts as the Remitting Bank and forwards the documents to the buyer's bank.

The buyer's bank acts as the Collecting Bank. It presents the documents to the buyer and collects the payment.

Once the payment is received, the Collecting Bank remits the amount back to the Remitting Bank.

Finally, the Remitting Bank credits the amount to the seller's account.

Important Concept:

In the Collection process, the bank does not provide any payment guarantee.

It only acts as a facilitator and follows the instructions given by the seller.

Types of Payment:

1. Sight Payment:

Payment is made immediately when documents are presented.

The buyer must pay at the time of presentation.

2. Usance Payment:

Payment is not made immediately.

The buyer accepts the bill and agrees to pay on a future date called the maturity date.

Types of Collection:

1. Documents Against Payment (DP):

Documents are released only after payment.

Mostly used in Sight transactions.

2. Documents Against Acceptance (DA):

Documents are released after acceptance.

Mostly used in Usance transactions.

System Modules:

INOC – Inland Outward Collection:

Used when our bank is acting as Remitting Bank.

Documents are sent outward.

INIC – Inland Inward Collection:

Used when our bank is acting as Collecting Bank.

Documents are received inward.

Summary:

Inland Collection is a trust-based payment mechanism where banks act only as intermediaries, and payment can be either Sight or Usance depending on the agreed terms between buyer and seller.